



2016
ANNUAL REPORT & FINANCIAL STATEMENTS



Diniz Holdings Limited

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GROUP INFORMATION

BOARD OF DIRECTORS

Dr. C. W. Obura (Chairman)
Hector Diniz
Pinhas Moskovich (Israeli)
Kajal Thakker
Davinder Singh Devgun

CHIEF OFFICER

Managing Director - Hector Diniz

REGISTERED OFFICE

Airport Trade Centre
Freight Road
P.O. Box 40433, 00100
NAIROBI

PRINCIPAL PLACE OF BUSINESS

Express House
Road A, Off Enterprise Road
Industrial Area
P.O. Box 40436, 00100
NAIROBI
Telephone - 254 (20) 3002371-5
Cell - 254 (722) 204102-3
Website - www.expresskenya.com

INDEPENDENT AUDITOR

PKF Kenya
Certified Public Accountants
P.O. Box 14077, 00800 : NAIROBI

COMPANY SECRETARIES

Equatorial Secretaries and Registrars
Certified Public Secretaries
P.O. Box 47323, 00100
NAIROBI

PRINCIPAL BANKER

Diamond Trust Bank Kenya Limited
NAIROBI

LEGAL ADVISOR

MMA Advocates
NAIROBI

SHARE REGISTRARS

Custody and Registrars Services Limited
NAIROBI

SUBSIDIARIES

Express Mombasa Limited
Container Services Limited
Airporter Limited

Notice of Annual General Meeting

For the year ended 31 December 2016

NOTICE IS HEREBY GIVEN that the Forty-Sixth Annual General Meeting of the Company will be held at Eka Hotel, along Mombasa Road, Nairobi on Thursday, 29 June 2017 at 11.00 a.m. to transact the following business:

ORDINARY BUSINESS

1. To read the notice convening the meeting, table the proxies and note the presence of a quorum.
2. To confirm the minutes of the Forty-Fifth Annual General Meeting of the Company held on 27 October 2016.
3. To receive, consider and adopt the Audited Financial Statements for the year ended 31 December 2016 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
4. To note that the Directors do not recommend payment of a dividend (2015: Nil) for the financial year ended 31 December 2016.
5. To approve the Directors' remuneration as provided in the Audited Financial Statements for the year ended 31 December 2016.
6. To re-elect a Director, Mr Pinhas Moskovich retires by rotation in accordance with Article 113 of the Company's Articles of Association, and does not offer himself for re-election.
7. To note that PKF Kenya continue in office as Auditors to the Company by virtue of Section 719(2) of the Companies Act, 2015 and to authorise the Directors to fix their remuneration for the ensuing financial year.

SPECIAL BUSINESS

8. Subject to obtaining the necessary approval from the Registrar of Companies and the Capital Markets Authority, to consider and, if thought fit, to pass the following resolution as a Special Resolution:
"That the name of the Company be and is hereby changed from Express Kenya Limited to Express Kenya PLC in compliance with Section 53 of the Companies Act, 2015".
9. Any other business of which due notice has been received.

BY ORDER OF THE BOARD



**Equatorial Secretaries and Registrars
Company Secretaries**

Dated: 8 May 2017

Note:

1. In accordance with Section 298 of the Companies Act, 2015 a member entitled to attend and vote at this meeting is entitled to appoint proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company.
2. To be valid, a form of proxy which is attached to this notice must be duly completed and signed by the member and must either be lodged at the Registered office of the Company, Express House, Road A, off Enterprise Road, P O Box 40433-00100, Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove P O Box 47323, 00100-Nairobi, so as to reach not later than 11.00 a.m. on Wednesday, 28 June 2017.
3. In case of a corporate body, the proxy must be executed under its common seal or under the hand of a duly authorized officer or an attorney of such corporation.

Our Belief

MISSION

To provide residents with exemplary service and a quality home environment, to provide employees' unparalleled opportunities for personal and professional development and to provide partners and clients with maximized real estate asset value.

VISION

To offer affordable and reliable housing solutions for the ever growing middle and low income families in search of the ideal home in all the 47 counties in support of the country's vision 2030.

STRATEGY

Express Kenya Limited will continue to acquire and develop quality properties based on realistic values for its own investment affiliates. The real estate activities will take place in select submarkets generally throughout the counties and Africa as a whole, and those activities will focus on fewer, usually larger and more complicated, transactions that take advantage of unique opportunities.

Once properties are acquired or developed, the Company will provide all of the adjunct services, skills and systems necessary to maintain each property to the highest standards of quality, to achieve the greatest operating efficiencies and, finally, to realize the highest profit performance. In all cases, Express Kenya Limited will maintain the highest level of personnel and support them with the most advanced systems. Talented and skilled professionals, who insist on only the highest standards, using the most sophisticated systems, and working in an intense but enjoyable environment, will lead and direct the company.

GOALS & OBJECTIVES

- To grow shareholders wealth through; - acquisition, development, sale, rental, as well as the maintenance of properties in the company's portfolio within the African continent.
- To be the preferred home provider of choice – a goal we plan to attain through our residents and employees.
- To make the buying and selling of real estate as cost effective as possible while maintaining the highest level of standards.
- To provide accurate and up-to-date information, skilled analysis and sound real estate advice to all those that need it.
- To continually explore new ideas and technology, so as to make the selling and buying of real estate faster, less costly, and easier.

OUR VALUES & GUIDING PRINCIPLES

We believe in and carry out our daily activities based on the principles of:-

- Integrity
- Honesty
- Respect
- Customer Service Excellence
- Teamwork
- Responsiveness
- Stewardship

Meet the Team

Our commitment to deliver exceptional service within the real estate industry is the cornerstone of our foundation and our dedicated leadership team helps keep us strong. It is our pleasure to now introduce the executive and management team.

Dr. C.W. Obura

Chairman of the Board and Non- Executive Director

Dr. C. Obura is the current chair of the Kenya Hospital Organization as well as the Nairobi Hospital. He also sits on the boards of several listed and unlisted companies, including but not limited to I.C.E.A Lion Holdings Limited, Olympia Capital Holdings Limited, Mather & Platt Kenya Limited, Dunlop Industries Limited, inter-alia. Prior to joining the company, he had served in various other boards such as the Kenya Airways and was chair to several organizations such as the Karen Country Club, the Kenya Dental Association the Medical Practitioners and Dentists Board.

The alumnus of both the University of London' Guys Hospital Medical and Dental Schools and Makerere University has contributed to the betterment of the medical profession in Kenya by lecturing at the University of Nairobi' medical school and acting as an external examiner to the same institution. He has also acted as a consultant with various hospitals within the country as well.

He brings to the board his vast expertise in matters finance and management as well as adherence to good corporate governance practices. His tenure as chairman has seen the company weather challenges and has overseen the transition of the company from one reliant on transport and logistics to a diversified one.

Mr. Hector Diniz

Company C.E.O. and Executive Director

This high achieving individual is currently the Chief Executive Officer of Express Kenya Limited. He currently chairs various organizations such as Flowerwings Express Limited and Flowerwings Kenya Limited. He also sits in the board of Aviation Warehouse Limited and Orchid Gardens Limited, which is a high end construction company. Prior to joining the company, he spearheaded the Cargo division in KLM Royal Dutch Airlines. He plays a pivotal role in the company based on his extensive expertise in the real estate arena in Kenya. He is also an expert in Corporate Re-engineering, Strategy Formulation and Global Markets identification.

Mr. Pinhas Moskovich

Executive Director

In addition to his directorship role, Mr. Moskovich also serves as the companys Chief Audit Executive, (CAE), overseeing the management of the companys Internal Audit Function. Under his tenure, the company has enhanced its relationships with the external auditors relating to better and more efficient audits. To the board, Mr. Moskovich has advocated for transparency in the boards operations as well as ensuring that all matters finance are expeditiously handled. Currently, he holds other directorship and managerial positions in an array of firms, key amongst them being the Managing Director of Amiran Kenya Limited and Amiran Communications Limited. He is passionate about the young Kenyans and East Africans and actively participates in enhancing the livelihoods of all he touches through various initiatives and cutting edge innovations.

Meet the Team *Continued*

Mrs. Kajal Thakker

Non-Executive Director

She has been an independent and executive member of the board since 2014. She has over 10 years expertise in the Finance field and is a member of the Association of Chartered Certified Accountants. Prior to joining the company, she was the Finance Director at Flowerwings Kenya Limited. She is an expert in International Business and currently sits on the board of several companies.

Mr. Davindar S. Devgun

Independent and Non - Executive Director

Mr. Devgun is an engineer by profession and he joined the company as an independent and Executive director in 2015. He boasts of over 30 years expertise in the construction industry and has through the years built an impressive portfolio of clients such as the government, SACCOs, banks, parastatals, private and public companies as well as churches and NGOs. It is this wealth of experience in the real estate arena that he brings to the board.

George Athiambo

Company Secretary

He is a Certified Public Secretary and is a member of the Institute of Certified Public Secretaries of Kenya. He has over 25 years of expertise in Company Secretarial and Share Registration and joined Equatorial Secretaries and Registrars in 2012. Prior to this, he had worked with other reputable organizations such as PricewaterhouseCoopers and Deloitte.

Clare Nyabuti

Legal Officer

She is the holder of a Bachelor of Laws degree from Moi University, Kenya and a post graduate Diploma in Laws from the Kenya School of Law. She is also an Advocate of the High Court of Kenya and a member of the Law Society of Kenya (LSK). In addition to this she is a registered Certified Public Secretary and a member of the Institute of Certified Public Secretaries of Kenya (ICPSK), with more than three (3) years of experience. She provides strategic legal counsel to the company and brings to the table seasoned knowledge of corporate law honed from diverse roles in the legal, trade, financial and investment banking sectors.

Peter Mutung'u

Finance Manager

He is an alumnus of Strathmore University and has served in various capacities in several industries over a ten year span. He joined Express Kenya in 2014 and has brought his wealth of experience in Finance to the organization and provides support to each department. He is a member in good standing with the Association of Chartered Certified Accountants.

Meet the Team *Continued*

Judy Njiraine

Assistant Chief Accountant

She is a CPA finalist with over 7 years of expansive and skillful experience in the fields of manufacturing, hardware, sanitary ware and power tools. Prior to joining the company, she held executive management positions in various companies, helping to implement robust company strategies that achieved preset objectives.

Jacqueline Njenga

Manager- Human Resources

She joined the Company in 2011 and is the holder of an undergraduate degree in Management and leadership from the Management University of Africa. She has over 10 years experience in Human Resource and Administrative management, with a specialty in workforce planning, recruitment, performance management, employee development and employee engagement. She also has significant experience in the management of employee relations, benefits, compensation and compliance.

Jane Nungari

Senior Manager- Project Accounting

She is the holder of an MBA from the University of Nairobi and an undergraduate degree from the same university. She has a strong background in Finance and is a member in good standing with ICPAK. She joined the company in 2012 and has served in various capacities within the finance department, namely as a Finance Executive and later as the companys Internal Auditor before settling into her current role. She also has vast expertise in Corporate Governance matters within the African arena.



Chairmans' Statement

Dear Shareholders, On behalf of the Board of Directors I am happy to welcome you to the 46th Annual General Meeting of your company. Thank you for your continued support and goodwill that is critical to the success of the company. The company's performance in the last fiscal year illustrates the opportunities and challenges facing the industry. The phenomenal impact that digital technology is having on businesses around the world is creating exciting and viable new opportunities for us to partner with clients. However, capitalizing on this opportunity requires a strong focus on innovation and collaboration. At the same time, there has never been a greater imperative to embrace technology to counter the downward pressures on pricing, in order to maximize efficiencies and reconfigure our solutions.

Traditional investment products, which either track or mirror market indexes, and are only superficially active, are losing ground. Today's investment portfolios are more and more frequently built from a variety of asset classes.

Customers are either looking for very transparent and liquid investment opportunities or clearly alternative targeted solutions. Cost effective and transparent allocation solutions are an excellent base for your investment portfolio. These are complemented by meticulously targeted alternative solutions, which can, for instance, be focused on a specific market segment. Our middle class housing solutions diversify your portfolio across all traditional asset classes.

They form the ideal diversified, liquid and transparent core of your investment portfolio. With our help, we thus welcome you to own with us, by owning a part of us!

Hector Diniz, our CEO and his management team have articulated a strategy to reengineer the business of the company and have set a target to achieve US \$ 1.5 billion in revenue by year 2020 with a 30% operating margin. While this is an aggressive and ambitious goal, the Board strongly believes that these are eminently achievable through game changing initiatives. This will of course not be easy. These goals have to be viewed in the context of significant external and internal challenges. Markets are volatile, business models are changing rapidly, new capabilities need to be built and the organization needs to adapt with great agility.

However, the start of the journey has been very



encouraging, as evidenced by the performance during the last quarter of the year, both in quantitative and qualitative terms. With focused energy, creativity and discipline many new initiatives are beginning to show tangible results.

We have a clear plan to balance the books over the next two years. We will do this through continued strong performance and discipline over capital costs and gearing. We do acknowledge that dividend is important to you. Our goal is to ensure that in the next two years, the company is in a position to not only give dividend, but do so continuously. At the same time, we must secure the future by investing wisely and as such, you can be assured that we will continue keeping this balance under regular review.

The Board of Directors is completely aligned with the management team on these longer term goals, and I would like to take this opportunity to pledge to you that we will pursue them on a foundation of the highest standards of governance and ethics. These are aspects that the company has always valued.

Respect for the laws of the land, fairness to the interests of all our stakeholders and a commitment to uphold our core values drive the deliberations and decisions of the Board.

In addition to our business goals and commitment to drive shareholder value, our company is focused on playing its role as a responsible corporate citizen. We continue to contribute towards initiatives that drive societal change in the communities where we operate, while ensuring that our growth is sustainable.

Chairmans' Statement *Continued*

The work done by Express Kenya Limited in these areas is remarkable and we owe our thanks to the trustees and employees of the company for their time and contribution towards these initiatives.

The real strength of our company is based on our customers. Together with them, we discover different market opportunities, and we work hard to maintain this mutual trust. The reason they trust us lies in the fact that we do not bend the truth to make a sale. For every single customer, we work as hard as we can to help them achieve their dreams. We love to help our customers find a house that can become a happy home. We are proud to offer what we feel are the finest homes in the country. Our belief is that our business can be successful for generations only if we continue a Tradition of Trust.

Our customers and stakeholders have given us extraordinary ideas. Side by side with our passionate professionals, they are making our shared journey happen every day. Our work makes a difference and our strong growth continues.

I frequently visit our company's offices and construction site, and interact with employees at all levels. I am glad to notice a renewed sense of vigor and energy in the organization. The

employees are at the heart of our successes and potential, and I would like to acknowledge their commitment and contribution. We accept as true the fact that working hard at something you love to do, with people you trust, is one of the greatest experiences in life. We are grateful and inspired to be working with a select team of professionals whom we believe are the most capable, honest and hard-working in the country.

APPRECIATION

Before I conclude, I would also like to thank other stakeholders – our clients, vendors and partners – for their trust and support. I thank the governments, ministries and departments of various countries that we operate in, for their continued support. And of course, I look forward to your continued support and best wishes.



Dr. Chris W. Obura
CHAIRMAN



Chief Executive Officers' Report

For the year ended 31 December 2016

Another year past, is yet another milestone to celebrate. The year that has been has been full of activity, all geared towards making our organization stronger and more resilient. It is also been a year that has been riddled with many changes such as the tighter regulations all listed companies are required to adhere to. The rules came into effect after the Capital Markets Authority signed a year-long deal with the International Finance Corporation to develop a framework aimed at tracking implementation of rules.

Though formulated in 2014, they came into effect in March 2016 after rising cases of mismanagement and abuse of power by several company directors. As such, the CMA and the IFC developed a reporting framework for issuers of shares, bonds and other securities on the Nairobi Securities Exchange to monitor how well the guidelines are applied, and to help independent governance auditors to provide assurance.

The authority put in place measures to help address money laundering, conflict of interest and fraud at listed companies, as well as increase transparency. Good corporate governance practices make local businesses more competitive and resilient, and so support economic growth and stability. Among them is the requirement that boards fully disclose any

non-compliance to relevant stakeholders including the CMA.

The year that has been has also seen the company venture fully into the real estate sector after more than 97 years in the transport and logistics sector. Real Estate begins with property, but it doesn't end there. The goal is to make Express Kenya Limited a reliable reference in real estate in Kenya. Our mission is to provide residents with exemplary service in a quality home environment, to provide employees' unparalleled opportunities for personal and professional development, and to provide partners and clients with maximized real estate asset value. To Our Residents, we are dedicated to delivering exemplary service in a quality home environment. Our goal is to be the apartment home provider of choice—a goal we plan to attain through our residents and employees.

We understand that our customers define the standard of quality and service, and their loyalty must be earned. The truth is, you can always say what you want in your advertising, but can people substantiate your claims? This is, after all what counts: that the message must be true and lived on an everyday basis! It thus makes me happy to hear people perceiving our brand as honest, serious and service minded.

Purchasing a property is something very personal. We enter the private world of the sellers - we literally stand in their bedrooms and bathrooms- while we climb into the heads of our purchasers and renters in order to know how they wish to enjoy living in our apartments and to understand what makes them feel at home. All this happens in a very international environment where the company's staff alone accounts for approximately 5 nationalities while our customers come from all corners of the world.

Currently, we provide the most professional, informative, loyal and dedicated service in the industry. The best interests of our clients will always come first and we place the clients' concerns ahead of our own in each and every transaction, given our dedication to the development of long-term client relationships. Our team-approach philosophy ensures your needs are important to each and every member of our organization.

To me, the future is not threatening. It stands for progress and innovation. I am certain tomorrow will



Chief Executive Officers' Report *Continued*

For the year ended 31 December 2016

be better than today and that our organization will contribute immensely to the real estate market.

To this end, our aim core aim is:

- To make the buying and selling of real estate as cost effective as possible while maintaining the highest level of service.
- To provide accurate and up-to-date information, skilled analysis and sound real estate advice.
- To continually explore new ideas and technology, to make the selling and buying of real estate faster, less costly, and easier.

To Clients and Partners We are dedicated to maximizing real estate asset value. We quickly adapt to the diversity of

individual investors, markets and residents through sound leadership, an unparalleled industry expertise and our unwavering commitment to service.

In conclusion, I would like to thank all of our company employees. Your loyalty, your commitment and

your contribution to our success make us a strong enterprise with enormous potential. That is why we are dedicated to developing you both personally and professionally. We believe that by encouraging personal and professional growth, our employees will exceed their expectations—with the benefits being realized by all. It is only by supporting you with a dynamic work environment, ongoing training, performance-based recognition and opportunities for advancement that our business will continuously succeed.

Drawing to a close, I would like to thank you - our shareholders - for placing your confidence in us and we look forward to forging a strong partnership in future.



Hector Diniz
CHIEF EXECUTIVE OFFICER



Corporate Governance

For the year ended 31 December 2016

The Annual General Meeting of Shareholders is the highest decision-making body in Express Kenya Limited, with the highest decision-making power being exercised by the shareholders in conjunction with the Board of Directors, which is duly elected by the shareholders and the CEO. This Meeting is convened by the Board of Directors and is held once a year before the end of June.

The company's Board of directors ("the Board") is the core of Express Kenya's system of corporate governance and is ultimately accountable and responsible for the performance and affairs of the company. The Board accordingly embraces the principles of good governance as set out in a number of governance frameworks. This Board has a sufficient size of five members whose composition fairly reflect the company's shareholding structure, and is not biased towards representation by a substantial shareholder; rather, it represents the broad shareholding of the company.

The Board is responsible for formulating policies, procedures and guidelines for the company, ensuring that all management decisions are made in accordance with prudent corporate governance practices; and the shareholders are responsible for the appointment of a competent Board of Directors. The Board specifically exercises leadership, enterprise, integrity and judgment in directing the company so as to achieve continuous prosperity. At all times, the board acts in the best interests of the company, based on the virtues of autonomy, authority, transparency, integrity, accountability and responsibility.

The board is compliant in regard to diversity in terms of academic qualifications, technical expertise, relevant industry knowledge, experience, nationality, age, race and gender. This enables it to discharge its duties effectively. The members of the Board have in aggregate 50 years of experience in the real estate sector and 30 years of experience in the securities market.

It is the general task of the Board of Directors to guide the operation of the company so that it generates the best

possible added value for shareholders measured in future cash flows. However, the operation of the company shall take other stakeholder groups appropriately into account and manage the implementation of corporate social responsibility.

Though the recommended age for the chairperson is 70 year, the shareholders, through their Annual General Meeting, have time and again chosen to retain Dr. Christopher Obura as the company's chairman due to his expertise and experience.

The CEO manages the company's routine administration in accordance with the objectives, instructions and orders issued by the Board of Directors. The CEO is responsible for ensuring that the company's accounting is in accordance with the law and its finances are reliably organized. The CEO is appointed and, as necessary, dismissed by the company's Board of Directors.

Audit and Risk Committee

The Chairman of the Audit and Risk Committee, Mr. Pinhas Moskovich, is both independent and non-executive. The role of the Audit and Risk Committee is to assist the Board in discharging its duties relating to the safeguarding of assets, the operation of adequate systems, control processes and the preparations of accurate financial statements in compliance with all applicable legal requirements and accounting standards.

Resignations and Appointments

This has been effectively covered on page 3 within the Notice of the AGM under Article 6

Major Shareholders

A schedule containing names, number of shares and actual percentages of the 30 largest shareholders, ownership by nationality as well as the dematerialized shares is provided on page 57.

Financial Highlights

Financial Highlights illustrating the performance of the company have also been provided.





Report of the Directors

For the year ended 31 December 2016

The directors submit their report and the audited consolidated financial statements for the year ended 31 December 2016, which disclose the state of affairs of the company and its subsidiaries (together, the 'group').

In accordance with Section 42 of the Sixth Schedule of the Kenyan Companies Act, 2015, Transitional and Savings Provisions, this report has been prepared in accordance with Section 157 of the repealed Companies Act, as if that repeal had not taken effect.

PRINCIPAL ACTIVITIES

The principal activities of the group are that of clearing and forwarding services for both air and sea as well as warehousing and logistics services. The group is in the process of venturing into real estate development.

	Group		Company	
RESULTS	2016 Shs	2015 Shs	2016 Shs	2015 Shs
(Loss) before tax	(112,007,102)	(75,733,782)	(111,875,702)	(75,638,582)
Tax credit	15,068,265	15,645,269	15,068,265	15,645,269
(Loss) for the year	(96,938,837)	(60,088,513)	(96,807,437)	(59,993,313)

DIVIDEND

The directors do not recommend the declaration of a dividend for the year (2015: Nil).

DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 2.

Pinhas Moskovich retire by rotation in accordance with the company's Articles of Association and though eligible, he does not offer himself for re-election.

INDEPENDENT AUDITOR

The company's auditor, PKF Kenya, has indicated willingness to continue in office in accordance with section 719(2) of the Kenyan Companies Act, 2015.

BY ORDER OF THE BOARD



Equatorial Secretaries and Registrars

COMPANY SECRETARY

Nairobi

Dated: April 28, 2017

Statement of Directors' Responsibilities

For the year ended 31 December 2016

The Kenyan Companies Act, 2015 requires the directors to prepare consolidated financial statements for each financial year which give a true and fair view of the state of affairs of the company and its subsidiaries (together the 'group') and of its profit or loss for that year. It also requires the directors to ensure that the group keeps proper accounting records that are sufficient to show and explain the transactions of the group and the company; that disclose, with reasonable accuracy, the financial position of the group and company and that enable them to prepare financial statements of the group and the company that comply with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015. The directors are also responsible for safeguarding the assets of the company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii. Selecting and applying appropriate accounting policies; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

The directors are of the opinion that the financial statements give a true and fair view of the financial position of the group and of the company as at 31 December 2016 and of the group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

In preparing these financial statements the directors have assessed the group's ability to continue as a going concern. Note 1(a) to the financial statements sets out the directors' assessment based on which the directors are of the opinion that the company and its subsidiaries will remain a going concern for at least the next twelve months from the date of this statement.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

So far as each of the directors is aware, there is no relevant audit information which the auditor is unaware of, and each of the directors has taken all the steps that ought to have been taken in order to become aware of any relevant audit information and to establish that the auditor is aware of that information.

Approved by the board of directors on 28th April 2017 signed on its behalf by:



DIRECTOR



DIRECTOR

Report of the Independent Auditor To the Members of Express Kenya Limited

For the year ended 31 December 2016

Opinion

We have audited the accompanying consolidated financial statements of Express Kenya Limited and its subsidiaries (collectively referred to as the 'group'), set out on pages 20 to 56 which comprise the consolidated and company statements of financial position as at 31 December 2016 and the consolidated and company statements of profit or loss, the consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the consolidated and company financial position as at 31 December 2016, and of the consolidated financial performance and consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material Uncertainty Related to Going Concern

We draw attention to Note 1(a) of the financial statements, which indicates that the group incurred a net loss of Shs. 96,938,837 (2015: Shs. 60,088,513) during the year ended 31 December 2016 and, as of that date, the group's current liabilities exceeded its current assets by Shs. 16,972,604. As stated in Note 1(a), these events or conditions, along with other matters as set forth in Note 1(a), indicate that a material uncertainty exists that may cast significant doubt on the group's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In addition to the matter described in the Material Uncertainty Related to Going Concern section of our report, we have determined the matter described below to be the key audit matters to be communicated in our report.

Report of the Independent Auditor To the Members of Express Kenya Limited *Continued*

For the year ended 31 December 2016

Impairment of property, plant and equipment

The group has property, plant and equipment with a carrying value of Shs. 281 million. Following a review of the group's operations and future business plans, the directors have performed an impairment review of the carrying values of motor vehicles and beer containers included in property, plant and equipment. An impairment provision of Shs. 28.19 million has been recognised against these assets. The directors have applied significant judgement in estimating the recoverable values of these assets with reference to estimated resale values and previous history of disposal proceeds.

Our audit procedures in relation to the directors assessment of impairment included:

- evaluation of management's assessment of impairment indications for property, plant and equipment;
- testing management's assumptions used in the impairment calculations including a comparison against recent disposal history; and
- physical verification of the assets on a sample basis.

Other Information

The directors are responsible for the other information. The other information comprises the report of the directors the company statement of profit or loss and the schedule of other expenditure but does not include the consolidated financial statements and our auditor's report thereon, which we obtained prior to the date of this auditors report, the chairman's and managing directors statement which are expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the corporate governance statement, chairman's statement and managing director's statement, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Directors for the Consolidated Financial Statements

The directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirement of the Kenyan Companies Act, 2015 and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Report of the Independent Auditor To the Members of Express Kenya Limited

Continued

For the year ended 31 December 2016

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of director's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report of the Independent Auditor To the Members of Express Kenya Limited *Continued*

For the year ended 31 December 2016

Report on Other Legal and Regulatory Requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the consolidated and company's statement of financial position and consolidated and company statement of profit or loss are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Darshan Prabhulal Shah - P/No. 2051.

PKF Kenya

CERTIFIED PUBLIC ACCOUNTANTS

Nairobi

Dated: April 28, 2017



Consolidated Statement of Profit or Loss

For the year ended 31 December 2016

	Notes	2016 Shs	2015 Shs
Revenue		62,816,765	123,850,909
Direct costs		(48,266,715)	(83,039,513)
Gross profit		14,550,050	40,811,396
Other operating income	3	1,856,308	11,728,303
Impairment provisions	4	(39,182,934)	(24,383,208)
Administrative expenses		(42,488,455)	(42,308,133)
Other operating expenses		(29,892,070)	(44,766,288)
Operating (loss)	5	(95,157,101)	(58,917,930)
Finance costs	7	(16,850,001)	(16,815,852)
(Loss) before tax		(112,007,102)	(75,733,782)
Tax credit	8	15,068,265	15,645,269
(Loss) for the year		(96,938,837)	(60,088,513)
(Loss) for the year is attributable to:			
- Owners of the company		(96,938,837)	(60,088,513)
(Loss) per share			
Basic and diluted (loss) per share	9	(2.74)	(1.70)

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.



Company Statement of Profit or Loss

For the year ended 31 December 2016

	Notes	2016 Shs	2015 Shs
Revenue		62,816,765	123,850,909
Direct costs		(48,266,715)	(83,039,513)
Gross profit		14,550,050	40,811,396
Other operating income	3	1,856,308	11,728,303
Impairment provisions	4	(39,182,934)	(24,383,208)
Administrative expenses		(42,357,055)	(42,212,933)
Other operating expenses		(29,892,070)	(44,766,288)
Operating (loss)	5	(95,025,701)	(58,822,730)
Finance costs	7	(16,850,001)	(16,815,852)
(Loss) before tax		(111,875,702)	(75,638,582)
Tax credit	8	15,068,265	15,645,269
(Loss) for the year		(96,807,437)	(59,993,313)
Basic and diluted (loss) per share	9	(2.73)	(1.69)

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.



Consolidated Statement of Financial Position

For the year ended 31 December 2016

AS AT 31 DECEMBER			
	Notes	2016 Shs	2015 Shs
CAPITAL EMPLOYED			
Share capital	10	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	11	122,654,966	132,522,086
Retained (deficit)		(286,995,333)	(199,923,616)
Shareholders' funds		23,180,302	120,119,139
Non-current liabilities			
Borrowings	12	140,806,953	126,283,838
Deferred tax	13	83,851,526	98,919,791
Trade and other payables	20	17,000,000	-
		241,658,479	225,203,629
		264,838,781	345,322,768
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	281,627,785	332,952,104
Intangible assets	16	183,600	244,800
		281,811,385	333,196,904
Current assets			
Inventories	17	40,631,082	19,810,995
Trade and other receivables	18	23,472,458	53,754,087
Cash and cash equivalents	19	2,362,398	3,837,442
Tax recoverable		31,298,500	31,298,500
		97,764,438	108,701,024
Current liabilities			
Trade and other payables	20	40,176,821	23,008,049
Borrowings	12	60,160,221	59,167,111
Provision for legal claims	21	14,400,000	14,400,000
		114,737,042	96,575,160
Net current (liabilities)/assets		(16,972,604)	12,125,864
		264,838,781	345,322,768

The financial statements on pages 20 to 56 were approved and authorised for issue by the Board of Directors on 28th April 2017 and were signed on its behalf by:

 DIRECTOR

 DIRECTOR

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Company Statement of Financial Position

For the year ended 31 December 2016

AS AT 31 DECEMBER			
	Notes	2016 Shs	2015 Shs
CAPITAL EMPLOYED			
Share capital	10	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	11	122,654,966	132,522,086
Retained (deficit)		(286,818,995)	(199,878,678)
Shareholders' funds		23,356,640	120,164,077
Non-current liabilities			
Borrowings	12	140,806,953	126,283,838
Deferred tax	13	83,851,526	98,919,791
Trade and other payables	20	17,000,000	-
		241,658,479	225,203,629
		265,015,119	345,367,706
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	281,605,046	332,929,365
Investment in subsidiaries	15	2,557,160	2,557,160
Intangible assets	16	183,600	244,800
		284,345,806	335,731,325
Current assets			
Inventories	17	40,631,082	19,810,995
Trade and other receivables	18	22,476,858	53,758,487
Cash and cash equivalents	19	2,362,398	3,837,442
Tax recoverable		31,298,500	31,298,500
		96,768,838	108,705,424
Current liabilities			
Trade and other payables	20	41,539,304	25,501,932
Borrowings	12	60,160,221	59,167,111
Provision for legal claims	21	14,400,000	14,400,000
		116,099,525	99,069,043
Net current (liabilities)/assets		(19,330,687)	9,636,381
		265,015,119	345,367,706

The financial statements on pages 20 to 56 were approved and authorised for issue by the Board of Directors on 28th April 2017 and were signed on its behalf by:

 DIRECTOR
  DIRECTOR

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Consolidated Statement of Changes in Equity

For the year ended 31 December 2016

Year ended 31 December 2015		Notes	Share capital Shs	Share premium Shs	Revaluation reserve Shs	Retained (deficit) Shs	Total Shs
At start of year			177,018,950	10,501,719	142,389,206	(149,702,223)	180,207,652
(Loss) for the year			-	-	-	(60,088,513)	(60,088,513)
Transfer of excess depreciation		11	-	-	(14,095,886)	14,095,886	-
Deferred tax on excess depreciation transfer		13	-	-	4,228,766	(4,228,766)	-
At end of year			177,018,950	10,501,719	132,522,086	(199,923,616)	120,119,139
Year ended 31 December 2016							
At start of year			177,018,950	10,501,719	132,522,086	(199,923,616)	120,119,139
(Loss) for the year			-	-	-	(96,938,837)	(96,938,837)
Transfer of excess depreciation		11	-	-	(14,095,886)	14,095,886	-
Deferred tax on excess depreciation transfer		13	-	-	4,228,766	(4,228,766)	-
At end of year			177,018,950	10,501,719	122,654,966	(286,995,333)	23,180,302

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Company Statement of Changes in Equity

For the year ended 31 December 2016

Year ended 31 December 2015		Notes	Share capital Shs	Share premium Shs	Revaluation reserve Shs	Retained (deficit) Shs	Total Shs
At start of year			177,018,950	10,501,719	142,389,206	(149,752,485)	180,157,390
(Loss) for the year		11	-	-	-	(59,993,313)	(59,993,313)
Transfer of excess depreciation			-	-	(14,095,886)	14,095,886	-
Deferred tax on excess depreciation transfer		13	-	-	4,228,766	(4,228,766)	-
At end of year			177,018,950	10,501,719	132,522,086	(199,878,678)	120,164,077
Year ended 31 December 2016							
At start of year			177,018,950	10,501,719	132,522,086	(199,878,678)	120,164,077
(Loss) for the year		11	-	-	-	(96,807,437)	(96,807,437)
Transfer of excess depreciation			-	-	(14,095,886)	14,095,886	-
Deferred tax on excess depreciation transfer		13	-	-	4,228,766	(4,228,766)	-
At end of year			177,018,950	10,501,719	122,654,966	(286,818,995)	23,356,640

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Consolidated statement of Cash Flows

For the year ended 31 December 2016

	Notes	2016 Shs	2015 Shs Restated
Operating activities			
Cash from operations	22	5,440,194	759,142
Interest paid		(16,762,077)	(16,843,136)
Tax paid		-	(2,112,268)
Net cash (used in) operating activities		(11,321,883)	(18,196,262)
Investing activities			
Purchase of property, plant and equipment	14	(954,595)	(5,326,297)
Addition to intangible assets	16	-	(306,000)
Proceeds from disposal of property, plant and equipment		6,568,963	37,393,922
Net cash from investing activities		5,614,368	31,761,625
Financing activities			
Net (repayment of) bank borrowings		(8,622,866)	(6,385,321)
Net proceeds from/(repayment of) borrowings from related parties		13,500,000	(4,539,634)
Net cash from financing activities		4,877,134	(10,924,955)
(Decrease)/increase in cash and cash equivalents		(830,381)	2,640,408
Movement in cash and cash equivalents			
At start of year		(47,019,918)	(49,687,610)
(Decrease)/increase		(830,381)	2,640,408
Effect of exchange rate changes		(87,924)	27,284
At end of year	19	(47,938,223)	(47,019,918)

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Company Statement of Cash Flows

For the year ended 31 December 2016

	Notes	2016 Shs	2015 Shs Restated
Operating activities			
Cash from operations	22	5,440,194	759,142
Interest paid		(16,762,077)	(16,843,136)
Tax paid		-	(2,112,268)
Net cash (used in) operating activities		(11,321,883)	(18,196,262)
Investing activities			
Purchase of property, plant and equipment	14	(954,595)	(5,326,297)
Addition to intangible assets	16	-	(306,000)
Proceeds from disposal of property, plant and equipment		6,568,963	37,393,922
Net cash from investing activities		5,614,368	31,761,625
Financing activities			
Net (repayment of) bank borrowings		(8,622,866)	(6,385,321)
Net proceeds from/(repayment of) borrowings from related parties		13,500,000	(4,539,634)
Net cash from financing activities		4,877,134	(10,924,955)
(Decrease)/increase in cash and cash equivalents		(830,381)	2,640,408
Movement in cash and cash equivalents			
At start of year		(47,019,918)	(49,687,610)
(Decrease)/increase		(830,381)	2,640,408
Effect of exchange rate changes		(87,924)	27,284
At end of year	19	(47,938,223)	(47,019,918)

The notes on pages 28 to 56 form an integral part of these financial statements.
Report of the independent auditor - pages 16 to 19.

Notes

For the year ended 31 December 2016

1. SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements are prepared on the historical cost basis in accordance with International Financial Reporting Standard (IFRS), as modified by the revaluation of certain items of property, plant and equipment in line with the requirements of International Accounting Standard 16 (IAS 16) on Property, Plant and Equipment.

The historical cost convention is generally based on the fair value of the consideration given in exchange of assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique.

In estimating the fair value of an asset or liability, the group takes into account the characteristics of the asset or liability if market participants would take those characteristics into consideration when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as 'net realisable value' or 'value in use'.

In addition, for financial reporting purposes, fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

The financial performance of the group is set out in the report of the directors and in the statement of profit or loss. The financial position of the group is set out in the statement of financial position. Disclosures in respect of risk management and capital management are set out in Note 25 and 26 to the financial statements.

Going concern

During the year ended 31 December 2016, the group recognised a net loss of Shs. 96,938,837 (2015: Shs. 60,088,513). The statement of financial position of the group had accumulated losses of Shs. 286,995,333 (2015: Shs. 199,923,616) and there was a deficiency in shareholders fund of Shs. 16,972,604.

The directors commenced plans to diversify the business of the group to include real estate development. The real estate project is to be carried out in four phases and the first phase commenced in April 2016.

During the year the following project milestones were achieved with regards to the first phase of the real estate development:

- The group obtained approval from the National Environment Management Authority (NEMA) on 23 March 2016 who are satisfied with the environmental related aspects of the development. This together with other various approvals from authorities are a significant requirement for the group to be able to commence work on the proposed development.
- The group undertook a tendering process so as to be able to compare construction costs from the various tender applicants. The contract has been awarded to a tender applicant on 15 April 2016 the respective contracts have been signed.
- A team of support professionals including architects, quantity surveyors and civil engineers has been contracted in addition to the above. - Ground breaking ceremony was held on 28 April 2016 to kickstart the development process.

Notes *Continued*

For the year ended 31 December 2016

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

a) Basis of preparation (continued)

- Management are in ongoing discussions for project finance with several financial institutions, on conclusion of which the project construction will commence. The directors have also sought mandate from the group's shareholders to dispose off part of the land asset to generate cashflows to commence construction. The group is currently marketing this for sale. If successful, the sale is likely to generate sufficient cash flow to meet the group's working capital and construction needs for at least the next 12 months from the date of such a sale.

The group's current logistics and warehousing operations are not likely to generate adequate cash flows, therefore, the real estate development plan is expected to generate surplus cash flows from pre-sales, booking deposits and bank finance to be able to assist the group in settling liabilities that have arisen out of the current operations. This in turn will assist in reducing the finance costs the group incurs on an annual basis. However, the achievement of pre-sales and servicing of finance are dependent on various factors which are not in the group's control, including the overall economic climate. Thus there is a material uncertainty which may in the short term cast doubt about the entities ability to meet its cash flow requirements and therefore continue as a going concern.

However, on the basis of the significant upside in the real-estate development project, the directors are of the opinion that the company has realistic positive future business prospects and therefore consider it appropriate to prepare the financial statements on a going concern basis which assumes that the company will be in operational existence for the foreseeable future.

New and amended standards adopted by the group

A number of new and revised Standards and Interpretations have been adopted in the current year. Their adoption has had no material impact on the amounts reported in these financial statements.

New standards, amendments and interpretations issued but not effective

At the date of authorisation of these financial statements the following Standards and Interpretations which have not been applied in these financial statements were in issue but not yet effective for the year presented:

- Amendments issued in January 2016 to IAS 7 'Statement of Cash Flows' to improve information provided about an entity's changes in liabilities from financing activities through disclosure (as applicable) of: (i) changes from financing cash flows; (ii) changes from obtaining cash flows; (iii) the effect of changes in foreign exchange rates; (iv) changes in fair value; and (v) other charges. These amendments are effective for annual periods beginning on or after 1 January 2017.
- Amendments issued in January 2017 to IAS 12 'Income Taxes' that are effective for annual periods beginning on or after 1 January 2017 clarify that unrealised losses on debt instruments that are carried at fair value give rise to a deductible temporary difference on which deferred tax arises where they are carried as cost for tax purposes.
- Amendments issued in June 2016 to IFRS 2 'Share - based Payment' which are effective for annual periods beginning on or after 1 January 2018 clarify the effects of vesting conditions on cash settled schemes, treatment of net settled schemes and modifications for equity settled schemes.
- IFRS 9 'Financial Instruments' (Issued in July 2014) will replace IAS 39 and will be effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and de-recognition.

IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

In respect of financial liabilities, the most significant effect of IFRS 9 where the fair value option is taken will be in respect of the amount of change in fair value of a financial liability, designated as at fair value through profit

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

a) Basis of preparation (continued)

or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

In respect of impairment of financial assets, IFRS 9 introduces an “expected credit loss” model based on the concept of providing for expected losses at inception of a contract.

In respect of hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risks.

- IFRS 15 ‘Revenue from Contracts with Customers’ (issued in May 2014) effective for annual periods beginning on or after 1 January 2018, replaces IAS 11 ‘Construction Contracts’, IAS 18 ‘Revenue’ and their interpretations (SIC-31 and IFRIC 13,15 and 18). It establishes a single and comprehensive framework for revenue recognition based on a five-step model to be applied to all contracts with customers, enhanced disclosures, and new or improved guidance.
- IFRS 16 ‘Leases’ (issued in January 2016) effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 ‘Leases’, IFRIC 4 ‘Determining whether an Arrangement Contains a Lease’ and their interpretations (SIC-15 and SIC-27). IFRS 16 establishes principles for the recognition, measurement, presentation and disclosure of leases, with the objective of ensuring that lessees and lessors provide relevant information that faithfully represents those transactions.

The directors expect that the future adoption of IFRS 9, IFRS 15 and IFRS 16 may have a material impact on the amounts reported. However, it is not practicable to provide a reliable estimate of the effects of the above until a detailed review has been completed. The directors do not expect that adoption of the other Standards and Interpretations will have a material impact on the financial statements in future periods. The entity plans to apply the changes above from their effective dates noted above.

b) Key sources of estimation uncertainty

In the application of the accounting policies, the directors are required to make the judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other relevant factors. Such estimates and assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

Management have made the following assumptions that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

- **Useful lives of property, plant and equipment and intangible assets** - Management reviews the useful lives and residual values of the items of property, plant and equipment and intangible assets on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.
- **Fair value measurement and valuation process** - In estimating the fair value of an asset or a liability, the group uses market-observable data to the extent it is available. Where level 1 inputs are not available, the group makes use of financial models or engages third party qualified valuers to perform the valuation techniques and inputs to the model.

c) Significant judgements made by management in applying the group’s accounting policies

Directors have made the following judgements that are considered to have the most significant effect on the amounts recognised in the financial statements:

- **Impairment of trade receivables** - the group reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

c) Significant judgements made by management in applying the group's accounting policies (continued)

there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.

- **Tax losses** - The group has not recognised deferred tax assets on tax losses. In determining whether these tax losses will be utilised, the management makes judgement as to whether these will be utilised before they are forfeited based on the requirement of the Income Tax Act.
- **Control of subsidiaries** - The directors assess whether or not the group has control over any entity based on whether or not the group has the practical ability to direct the relevant activities of the entity unilaterally. In making their judgement, the directors considered the group's absolute size of holding in the entity and the relative size of dispersion of the shareholdings owned by the other shareholders.
- **Leasehold land** - Land that is held under lease from the Government of Kenya has been classified as a finance lease. In forming this judgement, the directors have considered the fact that while the title to the land does not pass to the group and that the term of the current lease does not represent a major part of the economic useful life of the land, the group is expected to continually seek renewal of the lease on expiry and that such renewal will be forthcoming from the Government resulting in the risks and rewards incidental to ownership of the land to accrue to the group. In addition the directors considered the prepaid lease rentals and incentives including rental commitments over the lease term to represent substantially all of the fair value of the land at the inception of the lease with any residual value accruing to the lessor being negligible thereby meeting the criteria for classification as a finance lease under International Accounting Standard 17 on Leases.

d) Segmental reporting

An operating segment is a component of the group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

e) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the performance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts, after eliminating sales within the group.

The group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the group's activities as described below.

The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved. The group bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of each arrangement.

Sales of services are recognised upon performance of the services rendered.

f) Investment in subsidiaries/consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies. Control is achieved when the company; has power over the trustee; is exposed or has right to variable returns from its involvement with the investee and has the ability to use its power to affect its returns.

The group also assesses the existence of control where it does not have a majority of the voting rights power

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

f) Investments in subsidiaries/consolidation (Continued)

but is able to govern the financial and operating policies of a subsidiary. Control may arise in certain circumstances such as where the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies, where potential voting rights are held by the company and rights from other contractual arrangements etc.

When the company has assessed and has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally.

The company reassesses whether or not it controls an investee. If facts and circumstances indicate that there are changes to one or more of the three elements of controls listed above.

Consolidation of a subsidiary begins when the company obtains control over the subsidiary and ceases when the company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the company gains control until the date the company ceases to control the subsidiary.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the consolidated statement of profit or loss from the effective date of acquisition and up to the effective date of disposal as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Intra-group balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-company transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary adjustments are made to financial statements of the subsidiaries to bring their accounting policies into line with the groups accounting policy.

- Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

- Disposal of subsidiaries

When the group ceases to have control any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

- Business combinations

The group applies the acquisition method to account for business combinations. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred to/by the group, liabilities incurred by the group to the former owners of the acquiree and the equity interests issued by the group in exchange for control of the acquiree. Acquisition related costs are generally recognised in profit or loss as incurred.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

f) Investments in subsidiaries/consolidation (Continued)

have previously been recognised in other comprehensive income are reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

Any contingent consideration to be transferred by the group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 'Financial Instruments: Recognition and Measurement' in profit or loss income. Contingent consideration that is classified as equity is not remeasured, and its subsequent settlement is accounted for within equity.

Goodwill is initially measured as the excess of the aggregate of the consideration transferred and the fair value of non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognised in profit or loss.

g) Property, plant and equipment

All property, plant and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Buildings are subsequently shown at market value, based on periodic, but at least triennial valuations by external independent valuers, less subsequent depreciation. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Management classify the fair values of non-financial assets based on the qualitative characteristics of the fair valuation as at the financial year end. The three hierarchy levels used by management are:

- **Level 1:** where fair values are based on unadjusted quoted prices in active markets for identical assets.
- **Level 2:** where fair values are based on adjusted quoted prices and observable prices of similar assets.
- **Level 3:** where fair values are not based on observable market data and inputs.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged to other comprehensive income; all other decreases are charged to profit or loss. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation on all other assets is calculated on a straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over their estimated useful life as follows:

Buildings	over the remaining lease period
Plant and machinery	8 years
Furniture, fittings and equipment	8 years
Motor vehicles	5 years
Computer, faxes and copiers	3 1/3 years
Beer containers	4 years

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

g) Property, plant and equipment (Continued)

Freehold and leasehold land are not depreciated.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating (loss). On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings in the statement of changes in equity.

h) Impairment of non-financial assets and intangible assets

At the end of each reporting period, the Group reviews the carrying amounts of its tangible assets and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

i) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings (the functional currency), at the rates ruling at the transaction dates.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

The resulting differences from conversion and translation are dealt with in profit or loss in the year in which they arise.

j) Financial instruments

Financial assets and liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines the classification of financial instruments at the time of initial recognition.

Financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

The group's financial assets which include trade and other receivables and cash and bank balances fall into the following category:

- **Loans and receivables:** financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the reporting date. All assets with maturities greater than 12 months after the reporting date are classified as non-current assets. Such assets are carried at amortised cost using the effective interest rate method. Changes in the carrying amount are recognised in profit or loss.

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

g) Financial Instruments (Continued)

Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the group commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the group has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in profit or loss under administrative expenses when there is objective evidence that the group will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in the fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated at the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial asset's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss in the year in which they occur.

Financial liabilities

The group's financial liabilities which include borrowings, trade and other payables and provision for legal claims fall into the following category:

- **Financial liabilities measured at amortised cost:** These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.

All financial liabilities are classified as current liabilities unless the group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

Fees associated with the acquisition of borrowing facilities are recognised as transaction costs of the borrowing to the extent that it is probable that some or all of the facilities will be acquired. In this case the fees are deferred until the drawn down occurs. If it is not probable that some or all of the facilities will be acquired the fees are accounted for as prepayments under trade and other receivables and amortised over the period of the facility.

Financial liabilities are derecognised when, and only when, the group's obligations are discharged, cancelled or expired.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when there is a legally enforceable right to offset the amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

k) Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash in hand and deposits held at call with banks, net of bank overdrafts. In the statement of financial position, bank overdrafts are included within borrowings in current liabilities.

l) Intangible assets - computer software

Computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives which are estimated to be five years.

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

m) Inventories - work-in-progress

Inventories - work-in-progress comprise leasehold land and work in progress. These are stated at the lower of cost and net realisable value. The cost of work-in-progress comprises all costs attributable to the real estate project.

n) Share capital

Ordinary shares are classified as equity.

o) Dividends

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

p) Taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss.

Current tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

Deferred tax

Deferred tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

q) Accounting for leases

The company as a lessee:

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Leases of property, plant and equipment, where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at cost. Each lease payment is allocated between the liability and finance charges. The interest element is charged to profit or loss over the lease period and is included under finance costs. Such property, plant and equipment is depreciated over its useful life.

The company as lessor

Assets leased to third parties under operating leases are included in property, plant and equipment in the statement of financial position.

Leased assets are recorded at historical cost less depreciation.

Depreciation is calculated on the straight line basis to write down the cost of leased assets to their residual values over their estimated useful life using annual rates consistent with the normal depreciation policies for similar assets under property, plant and equipment.

Gains and losses on disposal of leased assets are determined by reference to their carrying amount and are taken into account in determining operating (loss).

1. SIGNIFICANT ACCOUNTING POLICIES *Continued*

r) Retirement benefit obligations

The group operates a defined contribution staff retirement benefit scheme for its permanent and pensionable employees. The scheme is administered by an insurance company. The group's contributions to the defined contribution retirement benefit scheme are charged to profit or loss in the year to which they relate.

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The group's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate.

s) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 SEGMENT INFORMATION

The group has three reportable segments which are the strategic business units offering different services and managed jointly. The operations of each reportable segment are as follows:

- **Clearing and forwarding:** includes distribution of products to various parts of the country on behalf of customers and handling of customers' goods in and out of the country.
- **Warehousing:** includes storage of customers' goods in the group's warehousing facility.
- **Real estate:** includes the real estate development arm of the group.

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies. The group evaluates performance based on each segment's gross profit and (loss) before tax.

For each of the strategic business units, the Managing Director (who is also the chief operating decision maker) reviews internal management reports. Information regarding the results of each reportable segment is described below. Performance is measured based on each segment's gross margin contribution as indicated in the internal management reports that are reviewed by the Managing Director.

As its geographic operations are confined to a single country, no disclosures by geography are applicable. All revenue, costs, assets and liabilities arise and are held in Kenya.

During the year, the group made sales of Shs. 31,309,044 (2015: Shs. 79,407,049) to a single customer that represents 50% (2015: 64%) of total turnover.

The group does not allocate tax expense to reportable segments.

The segment results are as follows:

Notes *Continued*

For the year ended 31 December 2016

2. SEGMENT INFORMATION *Continued*

Year ended 31 December 2016	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Revenue	15,818,591	46,998,174	-	62,816,765
Direct costs	(17,851,844)	(30,414,871)	-	(48,266,715)
Gross (loss)/profit	(2,033,253)	16,583,303	-	14,550,050
Other operating income (Note 3)	1,856,308	-	-	1,856,308
Impairment on provisions (Note 4)	(39,182,934)	-	-	(39,182,934)
Operating and administrative expenses	(16,444,726)	(48,858,465)	(7,077,334)	(72,380,525)
Finance costs (Note 7)	(16,850,001)	-	-	(16,850,001)
(Loss) before tax	(72,654,605)	(32,275,162)	(7,077,334)	(112,007,102)
Tax credit (Note 8)	15,068,265	-	-	15,068,265
(Loss) for the year	(57,586,340)	(32,275,162)	(7,077,334)	(96,938,837)

Notes *Continued*

For the year ended 31 December 2016

2. SEGMENT INFORMATION *Continued*

	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Revenue	76,852,735	46,998,174	-	123,850,909
Direct costs	(62,626,166)	(20,413,347)	-	(83,039,513)
Gross (loss)/profit	14,226,569	26,584,827	-	40,811,396
Other operating income (Note 3)	11,728,303	-	-	11,728,303
Impairment on provisions (Note 4)	(24,383,208)	-	-	(24,383,208)
Operating and administrative expenses	(40,620,481)	(24,840,865)	(21,613,075)	(87,074,421)
Finance costs (Note 7)	(16,815,852)	-	-	(16,815,852)
(Loss) before tax	(55,864,669)	1,743,962	(21,613,075)	(75,733,782)
Tax credit (Note 8)	15,645,269	-	-	15,645,269
(Loss) for the year	(40,219,400)	1,743,962	(21,613,075)	(60,088,513)

Other segment items included in profit or loss are:

Year ended 31 December 2016	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Depreciation on property, plant and equipment	427,030	16,927,018	805,131	18,159,179
Year ended 31 December 2015	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Depreciation on property, plant and equipment	5,830,312	16,927,018	648,115	23,405,445

The segment assets, liabilities and capital expenditure for the period then ended are as follows:

Year ended 31 December 2016	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Assets	184,586,981	123,059,260	40,631,082	348,277,323
Liabilities	177,531,109	38,970,244	39,042,642	255,543,995
Capital expenditure:				
- additions to property, plant and equipment	35,465	-	919,130	954,595
Year ended 31 December 2015	Clearing and forwarding Shs	Warehousing Shs	Real estate Shs	Total Shs
Assets	217,617,697	173,170,736	19,810,995	410,599,428
Liabilities	167,801,883	36,834,560	18,222,555	222,858,998
Capital expenditure:				
- additions to property, plant and equipment	141,379	-	5,184,918	5,326,297

Segment assets comprise primarily property, plant and equipment, trade and other receivables, inventories and operating cash and bank balances. They exclude deferred tax and tax recoverable.

Segment liabilities comprise operating liabilities, corporate borrowings and provision for legal claims.

Capital expenditure comprises additions to property, plant and equipment.

Notes *Continued*

For the year ended 31 December 2016

3. Other operating income

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Gain on disposal of property, plant and equipment	640,023	9,909,698	640,023	9,909,698
Bad debts recovered	278,501	194,150	278,501	194,150
Miscellaneous income	937,784	1,624,455	937,784	1,624,455
	1,856,308	11,728,303	1,856,308	11,728,303

4. Impairment provisions

Impairment of property, plant and equipment (Note 14)	28,190,795	13,683,208	28,190,795	13,683,208
Assets scrapped (Note 14)	-	10,700,000	-	10,700,000
Provision for bad debts (Note 18)	10,992,139	-	10,992,139	-
	39,182,934	24,383,208	39,182,934	24,383,208

5. Operating (loss)

The following items have been charged/(credited) in arriving at operating (loss):

Depreciation on property, plant and equipment (Note 14)	18,159,179	23,405,445	18,159,179	23,405,445
Amortisation of intangible assets (Note 16)	61,200	61,200	61,200	61,200
(Gain) on disposal of property, plant and equipment (Note 4)	(640,023)	(9,909,698)	(640,023)	(9,909,698)
Auditors' remuneration				
- current year	1,915,000	1,915,000	1,915,000	1,915,000
- (over)provision in prior years	(54,961)	(54,960)	(54,961)	(54,960)
Directors remuneration	18,000,000	18,000,000	18,000,000	18,000,000
Operating lease rentals	19,330,526	32,904,823	19,330,526	32,904,823
Repairs and maintenance	1,544,661	1,995,493	1,544,661	1,995,493
Bad debts recovered (Note 4)	-	(194,150)	-	(194,150)
Impairment on property, plant and equipment (Note 14)	39,182,934	13,683,208	39,182,934	13,683,208
Staff costs (Note 6)	30,180,913	27,973,823	30,180,913	27,973,823

6. Staff costs

Salaries and wages:

- direct costs	14,209,693	14,786,706	14,209,693	14,786,706
- administrative	14,278,860	11,205,922	14,278,860	11,205,922
Staff welfare and other costs	906,882	1,380,189	906,882	1,380,189
Pension costs:				
- National Social Security Fund	253,330	258,934	253,330	258,934
- Defined Contribution Scheme	532,148	342,072	532,148	342,072
	30,180,913	27,973,823	30,180,913	27,973,823

7. Finance costs

Foreign exchange loss/(gain)	87,924	(27,284)	87,924	(27,284)
Interest expense:				
- bank overdraft	7,365,272	8,302,204	7,365,272	8,302,204
- bank loan	9,396,805	8,232,192	9,396,805	8,232,192
- finance leases	-	308,740	-	308,740
	16,850,001	16,815,852	16,850,001	16,815,852

Notes Continued

For the year ended 31 December 2016

8. Tax

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Current tax	-	-	-	-
Deferred tax (credit) (Note 13)	(15,068,265)	(15,645,269)	(15,068,265)	(15,645,269)
	(15,068,265)	(15,645,269)	(15,068,265)	(15,645,269)
The tax on the group's and company's (loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:				
(Loss) before tax	(112,007,102)	(75,733,782)	(111,875,702)	(75,638,582)
Tax calculated at a tax rate of 30% (2015: 30%)	(33,602,131)	(22,720,135)	(33,562,711)	(22,691,575)
Tax effect of:				
- expenses not deductible for tax purposes	48,000	3,161,782	47,999	3,133,222
- (over)provision of deferred tax in prior years	-	(4,365,000)	-	(4,365,000)
- tax loss brought forward	(101,149,317)	(92,871,233)	(101,149,317)	(92,871,233)
- tax loss carried forward	119,635,183	101,149,317	119,595,764	101,149,317
Tax (credit)	(15,068,265)	(15,645,269)	(15,068,265)	(15,645,269)

9. Basic and diluted (loss) per share

The basic and diluted (loss) per share is calculated by dividing the net (loss) attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Net (loss) attributable to shareholders (Shs.)	(96,938,837)	(60,088,513)	(96,807,437)	(59,993,313)
Number of ordinary shares (Number)	35,403,790	35,403,790	35,403,790	35,403,790
Basic and diluted (loss) per share (Shs.)	(2.74)	(1.70)	(2.73)	(1.69)

10. Share capital

	Group and Company	
	2016 Shs	2015 Shs
Authorised:		
250,000,000 (2015: 250,000,000) ordinary shares of Shs. 5 each	1,250,000,000	1,250,000,000
Issued and fully paid:		
35,403,790 (2015: 35,403,790) ordinary shares of Shs. 5 each	177,018,950	177,018,950

Notes Continued

For the year ended 31 December 2016

11. Revaluation reserve

	Group and Company	
	2016 Shs	2015 Shs
At start of year	132,522,086	142,389,206
Transfer of excess depreciation	(14,095,886)	(14,095,886)
Deferred tax on excess depreciation transfer (Note13)	4,228,766	4,228,766
At end of year	122,654,966	132,522,086

The revaluation reserve arose upon the revaluation of buildings. The reserve is not distributable.

12. Borrowings

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Non-current				
Bank loan	24,588,192	34,760,907	24,588,192	34,760,907
Borrowings from related parties (Note 23)	91,551,241	79,455,411	91,551,241	79,455,411
Borrowings from directors (Note 23)	24,667,520	12,067,520	24,667,520	12,067,520
	140,806,953	126,283,838	140,806,953	126,283,838
Current				
Bank loan	9,859,600	8,309,751	9,859,600	8,309,751
Bank overdraft (Note 19)	50,300,621	50,857,360	50,300,621	50,857,360
	60,160,221	59,167,111	60,160,221	59,167,111
Total borrowings	200,967,174	185,450,949	200,967,174	185,450,949

The bank borrowings, overdraft and finance leases are secured by the following:

- Legal charge over L.R. No. 12596/1.
- Joint, several and personal guarantees of the directors of the company.

Borrowings from related parties are unsecured and are not payable in the next 12 months.

Weighted average effective interest rates at the year end were:

	Group		Company	
	2016 %	2015 %	2016 %	2015 %
- bank loan	14.00	20.33	14.00	20.33
- bank overdraft	14.00	17	14.00	17

The borrowing facilities expiring within one year are subject to review at various dates during the next financial year.

In the opinion of the directors, the carrying amounts of borrowings approximate to their fair value.

The carrying amounts of borrowings are denominated in Kenya Shillings.

Notes Continued

For the year ended 31 December 2016

12. Borrowings (continued)

Maturity based on the repayment structure of non current borrowings is as follows:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Between 1 and 2 years	24,588,192	34,760,907	24,588,192	34,760,907
No fixed maturity period	116,218,761	91,522,931	116,218,761	91,522,931
	140,806,953	126,283,838	140,806,953	126,283,838

13. Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using principal tax rates of 30% (2015: 30%). The movement on the deferred tax account is as follows:

	Group and Company	
	2016 Shs	2015 Shs
At start of year	98,919,791	114,565,060
(Credit) to profit or loss (Note 8)	(15,068,265)	(15,645,269)
At end of year	83,851,526	98,919,791

Deferred tax liabilities/(assets) and deferred tax (credit)/charge in profit or loss are attributable to the following items:

	Group and Company (Credit)/ charge		
	At start of year Shs	to profit or loss Shs	At end of year Shs
Deferred tax liabilities			
Property, plant and equipment	46,544,149	(10,912,661)	35,631,488
Revaluation - buildings	56,795,181	(4,228,766)	52,566,415
	103,339,330	(15,141,427)	88,197,903
Deferred tax (assets)			
Other provisions	(4,320,000)	-	(4,320,000)
Foreign exchange differences	(99,539)	73,162	(26,377)
	(4,419,539)	73,162	(4,346,377)
Net deferred tax liability	98,919,791	(15,068,265)	83,851,526

Deferred tax assets on tax losses carried forward are only recognised to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 119.60 million (2015: Shs. 101.15 million) in respect of tax losses carried forward amounting to Shs. 398.65 million (2015: Shs. 337.16 million) that can be carried forward against future taxable profits have not been recognised.

Notes Continued

14. Property, Plant and Equipment - Group

For the year ended 31 December 2016

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Total Shs
Cost or valuation									
At start of year	30,300	6,734,985	300,000,000	15,500,991	35,597,423	303,464,172	37,684,566	14,837,469	713,849,906
Additions	-	-	-	-	19,130	900,000	35,465	-	954,595
Disposals	-	-	-	-	-	(55,568,818)	-	-	(55,568,818)
At end of year	30,300	6,734,985	300,000,000	15,500,991	35,616,553	248,795,354	37,720,031	14,837,469	659,235,683
Comprising									
Cost	30,300	6,734,985	83,619,742	15,500,991	35,616,553	248,795,354	37,720,031	14,837,469	442,855,425
Valuation	-	-	216,380,258	-	-	-	-	-	216,380,258
	30,300	6,734,985	300,000,000	15,500,991	35,616,553	248,795,354	37,720,031	14,837,469	659,235,683
Depreciation									
At start of year	-	-	20,187,888	15,455,043	29,054,099	271,141,190	37,402,717	7,656,865	380,897,802
Disposals	-	-	-	-	-	(49,639,878)	-	-	(49,639,878)
Impairment adjustment	-	-	-	-	-	21,010,191	-	7,180,604	28,190,795
Charge for the year	-	-	16,927,018	-	794,621	303,490	134,050	-	18,159,179
At end of year	-	-	37,114,906	15,455,043	29,848,720	242,814,993	37,536,767	14,837,469	377,607,898
Net book value	30,300	6,734,985	262,885,094	45,948	5,767,833	5,980,361	183,265	-	281,627,785

Buildings were professionally valued on 5 September 2014 by Tysons Limited independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

Leasehold land was professionally valued on 5 September 2014 by Tysons Limited independent professional valuers on the basis of open market value of Shs. 728.2 million (excluding the value of the leasehold land transferred to inventories which has an open market value of Shs. 171.8 million). Both these valuations amounted to Shs. 900 million and have not been incorporated in these financial statements.

The fair valuation is categorised under level 3 based on the information set out in accounting policy (g).

Impairment losses amounting to Shs. 28,190,795 (2015: Shs. 13,683,208) have been recognised in profit or loss.

The group, in 2017 has commenced a process to dispose a parcel of its leasehold land which is currently used for warehousing activities. The carrying value of the leasehold land, including buildings located on the parcel of land amounts to Shs. 167.2 million. The business activities related to the use of these assets generate positive cashflows which will cease once the disposal process has been concluded.

Notes Continued

14. Property, Plant and Equipment - Company

For the year ended 31 December 2016

Cost or valuation	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Total Shs
At start of year	30,300	6,734,985	300,000,000	15,500,991	35,561,879	303,464,172	37,684,566	14,837,469	713,814,362
Additions	-	-	-	-	19,130	900,000	35,465	-	954,595
Disposals	-	-	-	-	-	(55,568,818)	-	-	(55,568,818)
At end of year	30,300	6,734,985	300,000,000	15,500,991	35,581,009	248,795,354	37,720,031	14,837,469	659,200,139
Comprising									
Cost	30,300	6,734,985	83,619,742	15,500,991	35,581,009	248,795,354	37,720,031	14,837,469	442,819,881
Valuation	-	-	216,380,258	-	-	-	-	-	216,380,258
	30,300	6,734,985	300,000,000	15,500,991	35,581,009	248,795,354	37,720,031	14,837,469	659,200,139
Depreciation									
At start of year	-	-	20,187,888	15,455,043	29,041,294	271,141,190	37,402,717	7,656,865	380,884,997
Disposals	-	-	-	-	-	(49,639,878)	-	-	(49,639,878)
Impairment adjustment	-	-	-	-	-	21,010,191	-	7,180,604	28,190,795
Charge for the year	-	-	16,927,018	-	794,621	303,490	134,050	-	18,159,179
At end of year	-	-	37,114,906	15,455,043	29,835,915	242,814,993	37,536,767	14,837,469	377,595,093
Net book value	30,300	6,734,985	262,885,094	45,948	5,745,094	5,980,361	183,264	-	281,605,046

Impairment losses amounting to Shs. 28,190,795 (2015: Shs. 13,683,208) have been recognised in profit or loss.

Notes

Continued

14. Property, Plant and Equipment - Group

For the year ended 31 December 2015

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Total Shs
Cost or valuation									
At start of year	30,300	6,734,985	300,000,000	15,500,991	30,412,505	494,195,502	37,543,187	14,837,469	899,254,939
Additions	-	-	-	-	5,184,918	-	141,379	-	5,326,297
Disposals	-	-	-	-	-	(136,726,847)	-	-	(136,726,847)
Assets scrapped	-	-	-	-	-	(54,004,483)	-	-	(54,004,483)
At end of year	30,300	6,734,985	300,000,000	15,500,991	35,597,423	303,464,172	37,684,566	14,837,469	713,849,906
Comprising									
Cost	30,300	6,734,985	83,619,742	15,500,991	35,597,423	303,464,172	37,684,566	14,837,469	497,469,648
Valuation	-	-	216,380,258	-	-	-	-	-	216,380,258
	30,300	6,734,985	300,000,000	15,500,991	35,597,423	303,464,172	37,684,566	14,837,469	713,849,906
Depreciation									
At start of year	-	-	3,260,870	15,455,043	28,261,869	408,151,668	37,279,307	3,947,498	496,356,255
Disposals	-	-	-	-	-	(109,242,623)	-	-	(109,242,623)
Assets scrapped	-	-	-	-	-	(43,304,483)	-	-	(43,304,483)
Impairment adjustment	-	-	-	-	-	10,316,164	-	3,367,044	13,683,208
Charge for the year	-	-	16,927,018	-	792,230	5,220,464	123,410	342,323	23,405,445
At end of year	-	-	20,187,888	15,455,043	29,054,099	271,141,190	37,402,717	7,656,865	380,897,802
Net book value	30,300	6,734,985	279,812,112	45,948	6,543,324	32,322,982	281,849	7,180,604	332,952,104

14. Property, Plant and Equipment - Company

For the year ended 31 December 2015

Cost or valuation	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Total Shs
At start of year	30,300	6,734,985	300,000,000	15,500,991	30,376,961	494,195,502	37,543,187	14,837,469	899,219,395
Additions	-	-	-	-	5,184,918	-	141,379	-	5,326,297
Disposals	-	-	-	-	-	(136,726,847)	-	-	(136,726,847)
Assets scrapped	-	-	-	-	-	(54,004,483)	-	-	(54,004,483)
At end of year	30,300	6,734,985	300,000,000	15,500,991	35,561,879	303,464,172	37,684,566	14,837,469	713,814,362
Comprising									
Cost	30,300	6,734,985	83,619,742	15,500,991	35,561,879	303,464,172	37,684,566	14,837,469	497,434,104
Valuation	-	-	216,380,258	-	-	-	-	-	216,380,258
	30,300	6,734,985	300,000,000	15,500,991	35,561,879	303,464,172	37,684,566	14,837,469	713,814,362
Depreciation									
At start of year	-	-	3,260,870	15,455,043	28,249,064	408,151,668	37,279,307	3,947,498	496,343,450
Disposals	-	-	-	-	-	(109,242,623)	-	-	(109,242,623)
Impairment adjustment	-	-	-	-	-	10,316,164	-	-	13,683,208
Assets scrapped	-	-	-	-	-	(43,304,483)	-	-	(43,304,483)
Charge for the year	-	-	16,927,018	-	792,230	5,220,464	123,410	342,323	23,405,445
At end of year	-	-	20,187,888	15,455,043	29,041,294	271,141,190	37,402,717	7,656,865	380,884,997
Net book value	30,300	6,734,985	279,812,112	45,948	6,520,585	32,322,982	281,849	7,180,604	332,929,365

Notes Continued

For the year ended 31 December 2016

14. Property, plant and equipment (Group and Company) (continued)

All the additions made during the year were made through cash payments.

If the buildings were stated on the historical cost basis, the amounts would be as follows:

	Group and Company	
	2016 Shs	2015 Shs
Cost	141,556,623	141,556,623
Accumulated depreciation	(53,892,909)	(51,061,777)
Net book value	87,663,714	90,494,846

15. Investment in subsidiaries

	Company			
	Country of incorporation	Holding	2016 Shs	2015 Shs
Express Mombasa Limited	Kenya	100%	242,800	242,800
Container Services Limited	Kenya	100%	1,694,552	1,694,552
Airporter Limited	Kenya	79%	619,808	619,808
			2,557,160	2,557,160

Express Mombasa Limited, Container Services Limited and Airporter Limited are dormant companies.

16. Intangible assets - Computer software

	Group and Company	
Cost		
At start of year	306,000	-
Additions	-	306,000
At end of year	306,000	306,000
Amortisation		
At start of year	61,200	-
Charge for the year	61,200	61,200
At end of year	122,400	61,200
Net book value	183,600	244,800

The amortisation charge on intangible assets is included in other operating expenses in profit or loss.

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
At start of year	19,810,995	2,668,440	19,810,995	2,668,440
Additions	20,820,087	17,142,555	20,820,087	17,142,555
At end of year	40,631,082	19,810,995	40,631,082	19,810,995

The inventories above relate to the ongoing work-in-progress for the real estate development project.

Notes Continued

For the year ended 31 December 2016

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
18. Trade and other receivables				
Trade receivables	75,773,242	94,461,946	75,773,242	94,461,946
Less: impairment provisions	(65,599,699)	(54,886,062)	(65,599,699)	(54,886,062)
Net trade receivables	10,173,542	39,575,884	10,173,542	39,575,884
Prepayments and deposits	8,563,542	7,095,471	8,563,542	7,095,471
Other receivables	614,554	3,770,918	614,554	3,770,918
Receivable from related parties (Note 23)	4,120,820	3,311,814	3,125,220	3,316,214
	23,472,458	53,754,087	22,476,858	53,758,487
Movement in impairment provisions				
At start of year	54,886,062	55,080,212	54,886,062	55,080,212
Additional provisions	10,992,139	-	10,992,139	-
Recoveries	(278,501)	(194,150)	(278,501)	(194,150)
At end of year	65,599,700	54,886,062	65,599,700	54,886,062

The carrying amounts of trade and other receivables are denominated in the following currencies:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Kenyan Shilling	22,991,441	53,265,330	21,995,841	53,269,730
United States Dollar	481,017	488,757	481,017	488,757
	23,472,458	53,754,087	22,476,858	53,758,487

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables. The directors are of the opinion that the group's exposure is limited because the debt is widely held. There is no significant concentration of credit risk.

Trade receivables that are over three months due are considered past due.

As of 31 December 2016, trade receivables amounting to Shs. 808,000 (2015: Shs. 10,627,396) were past due but not impaired. These relate to a number of independent customers for whom there is no recent history of default. The ageing analysis of these trade receivables is as follows:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
4 to 12 months	2,987,809	10,627,396	2,987,809	10,627,396

The other classes within trade and other receivables do not contain impaired assets.

The maximum exposure to credit risk at the reporting date is the fair value of each class of receivable mentioned above. The group does not hold any collateral as security.

Notes *Continued*

For the year ended 31 December 2016

19. Cash and cash equivalents

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Cash at bank and in hand	2,362,398	3,837,442	2,362,398	3,837,442

For the purposes of the statement of cash flows, the year-end cash and cash equivalents comprise the following:

Cash and bank balances	2,362,398	3,837,442	2,362,398	3,837,442
Bank overdraft (Note 12)	(50,300,621)	(50,857,360)	(50,300,621)	(50,857,360)
	(47,938,223)	(47,019,918)	(47,938,223)	(47,019,918)

The carrying amounts of cash and cash equivalents are denominated in the following currencies:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Kenya Shillings	2,214,216	2,647,318	2,214,216	2,647,318
United States Dollar	148,182	1,190,124	148,182	1,190,124
	2,362,398	3,837,442	2,362,398	3,837,442

20. Trade and other payables

Non-current

Payable to related parties (Note 23)

Current

Trade payables

Accruals

Other payables

Payable to related parties (Note 23)

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Payable to related parties (Note 23)	17,000,000	-	17,000,000	-
Trade payables	26,181,518	10,261,225	26,181,518	10,261,225
Accruals	2,824,832	1,935,704	2,824,832	1,935,704
Other payables	10,417,115	10,782,754	10,417,115	10,782,754
Payable to related parties (Note 23)	753,357	28,366	2,115,840	2,522,249
	40,176,821	23,008,049	41,539,304	25,501,932
	57,176,821	23,008,049	58,539,304	25,501,932

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the group's trade and other payables are denominated in the following currencies:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Kenya Shillings	55,959,449	21,803,902	57,321,932	24,297,785
United States Dollar	1,071,789	1,069,965	1,071,789	1,069,965
Euro	82,353	82,353	82,353	82,353
Danish Kroner	63,230	51,828	63,230	51,828
	57,176,821	23,008,049	58,539,304	25,501,932

Notes *Continued*

For the year ended 31 December 2016

20. Trade and other payables (continued)

The maturity analysis of trade and other payables is as follows:

Year ended 31 December 2016 - Group

	Group		Company	
	0 - 3 months Shs	4 - 12 months Shs	Over 1 year Shs	Total Shs
Trade payables	17,720,427	8,461,091	-	26,181,518
Accruals	7A07,632	2,117,200	-	2,824,832
Other payables	1,921,603	8,495,512	-	10,417,115
Payable to related parties	-	753,357	17,000,000	17,753,357
	20,349,662	19,827,159	17,000,000	57,176,822

Year ended 31 December 2016 - Company

Trade payables	17,720,427	8,461,091	-	26,181,518
Accruals	707,632	2,117,200	-	2,824,832
Other payables	1,921,603	8,495,512	-	10,417,115
Payable to related parties	-	2,115,840	17,000,000	19,115,840
	20,349,662	21,189,642	17,000,000	58,539,305

Year ended 31 December 2015 - Group

Trade payables	1,175,275	9,085,950	-	10,261,225
Accruals	479,993	1,455,711	-	1,935,704
Other payables	2,973,544	7,809,210	-	10,782,754
Payable to related parties	-	28,366	-	28,366
	4,628,812	18,379,237	-	23,008,049

Year ended 31 December 2015 - Company

Trade payables	1,175,275	9,085,950	-	10,261,225
Accruals	479,993	1,455,711	-	1,935,704
Other payables	2,973,544	7,809,210	-	10,782,754
Payable to related parties	-	2,522,249	-	2,522,249
	4,628,812	20,873,120	-	25,501,932

21. Provision for legal claims

	Group and Company	
	2016 Shs	2015 Shs
At start and end of year	14,400,000	14,550,000
Decrease	-	(150,000)
At end of year	14,400,000	14,400,000

The provisions for legal claims arose due to current litigations being handled by the company lawyers and are expected to be paid out. In the opinion of the directors, it is not possible to estimate the maturity profile of the same.

Notes Continued

For the year ended 31 December 2016

22. Cash from operations

Reconciliation of (loss) before tax to cash from operations

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
(Loss) before tax	(112,007,102)	(75,638,582)	(111,875,702)	(75,638,582)
Adjustments for:				
Depreciation on property, plant and equipment (Note 14)	18,159,179	23,405,445	18,159,179	23,405,445
Impairment on property, plant and equipment (Note 14)	28,190,795	13,683,208	28,190,795	13,683,208
Amortisation of intangible assets (Note 16)	61,200	61,200	61,200	61,200
(Gain)/loss on disposal of property, plant and equipment (Note 4)	(640,023)	(9,909,698)	(640,023)	(9,909,698)
Assets scrapped (Note 4)	-	10,700,000	-	10,700,000
Interest expense	16,762,077	16,843,136	16,762,077	16,843,136
Net foreign exchange loss/(gain)	87,924	(27,284)	87,924	(27,284)
Provision for charges and liabilities (Note 21)	-	(150,000)	-	(150,000)
Changes in working capital:				
- inventories	(20,820,087)	(17,142,555)	(20,820,087)	(17,142,555)
- trade and other receivables	30,281,629	(11,556,430)	31,281,628	(11,556,430)
- trade and other payables	45,364,602	50,490,702	44,233,203	50,490,702
Cash from operations	5,440,194	759,142	5,440,194	759,142

23. Related party transactions and balances

The company is controlled by Etcoville Holdings Limited incorporated in Kenya, which owns 60% of the company's shares. The remaining 40% of the shares are widely held. The ultimate parent company is Etcoville Investments Limited.

The following transactions were carried out with related parties:

	Group and company	
	2016 Shs	2015 Shs
i) Sale of services to related parties		
Other related parties	3,081,308	2,110,476
ii) Purchase of goods and services		
Other related parties	19,087,234	32,610,644
iii) Key management compensation		
Directors remuneration - short term employment benefits	18,000,000	18,000,000

iv) Outstanding balances arising from sale of services

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Receivable from related parties (Note 18)				
Other related parties	2,363,679	1,640,823	1,368,079	1,645,223
Parent	1,757,141	1,670,991	1,757,141	1,670,991
	4,120,820	3,311,814	3,125,220	3,316,214

Notes *Continued*

For the year ended 31 December 2016

23. Related party transactions and balances (continued)

v) Outstanding balances arising from purchase of goods and services

Payable to related parties (Note 20)

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Other related parties	17,753,357	28,366	17,253,357	28,366
Subsidiaries	-	-	1,862,483	2,493,883
	17,753,357	28,366	19,115,840	2,522,249

vi) Amount due to related parties

Loans due to related parties (Note 12)

- other related parties	91,551,241	79,455,411	91,551,241	79,455,411
- directors (Note 12)	24,667,520	12,067,520	24,667,520	12,067,520
	116,218,761	91,522,931	116,218,761	91,522,931

The advances from directors are unsecured, interest free and are not due in the next 12 months.

24. Commitments

Operating lease commitments - Group and Company as a lessee

The future minimum lease payments payable under non-cancellable operating leases are as follows:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Not later than 1 year	23,684,884	21,666,269	23,684,884	21,666,269
Later than 1 year and not later than 5 years	6,988,872	20,587,350	6,988,872	20,587,350
	30,673,756	42,253,619	30,673,756	42,253,619

The group leased property under non-cancellable operating lease agreements. The normal lease term is for 6 years and is generally renewable at the end of the tenure of the lease.

25. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including foreign exchange risk and interest rate risk), credit risk and liquidity risk.

The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the group's financial performance.

Risk management is carried out by the management under policies approved by the board of directors.

(a) Market risk

- Foreign exchange risk

The group is exposed to foreign exchange risk arising from various currency exposures primarily with respect to the United States Dollar. The risk arises from future transactions, assets and liabilities in the statement of financial position.

Notes Continued

For the year ended 31 December 2016

25. Risk management objectives and policies (continued)

(a) Market risk (continued)

- Foreign exchange risk (continued)

The table below summarises the effect on post-tax (loss) had the Kenya Shilling weakened by 10% against the United States Dollar, with all other variables held constant. If the Kenya Shilling strengthened against each currency, the effect would have been the opposite.

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Effect on (loss) - increase	41,172	33,231	41,172	33,231

A 10% sensitivity rate is being used when reporting foreign exchange risk internally to key management personnel and represents managements assessment of the reasonably possible change in foreign exchange rates.

- Interest rate risk

The group's exposure to interest rate risk arises from borrowings.

The table below summarises the effect on post-tax (loss) had interest rates been 1% higher, with all other variables held constant. If the interest rates were lower by 1%, the effect would have been the opposite.

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Effect on (loss) - increase	625,368	679,134	625,368	679,134

(b) Credit risk

Credit risk arises from cash and cash equivalents, and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables.

None of the financial assets that are fully performing has been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

(c) Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the group's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 12 and 20 disclose the maturity analysis of borrowings and trade and other payables respectively.

The following table details the group's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The tables have been drawn up based on undiscounted cash flows of financial liabilities based on the earliest date on which the group can be required to pay.

Notes *Continued*

For the year ended 31 December 2016

25. Risk management objectives and policies (continued)

The key assumptions made in the maturity profile are:

- changes in interest rates have not been accounted for as these cannot be predicted;
- changes in foreign exchange rates have not been accounted for as these cannot be predicted;
- the borrowings will be repaid based on the repayment schedule agreed with the lenders.

Year ended 31 December 2016 - Group	Interest rate %	Less than 1 year Shs	1 - 5 years rate Shs	No fixed maturity period Shs	Total Shs
Interest bearing liabilities:					
- Bank overdraft	14.00%	50,300,621	-	-	50,300,621
- Bank loan	14.00%	11,239,944	36,428,488	-	47,668,432
Non-interest bearing liabilities:					
- Borrowings from related parties	-	-	-	91,551,241	91,551,241
- Borrowings from directors	-	-	-	24,667,520	24,667,520
- Trade and other payables	-	40,176,821	-	-	40,176,821
- Provision for legal claims	-	14,400,000	-	-	14,400,000
		116,117,386	36,428,488	116,218,761	268,764,635

Year ended 31 December 2016 - Company

Interest bearing liabilities:					
- Bank overdraft	14.00%	50,300,621	-	-	50,300,621
- Bank loan	14.00%	11,239,944	36,428,488	-	47,668,432
Non-interest bearing liabilities:					
- Borrowings from related parties	-	-	-	91,551,241	91,551,241
- Borrowings from directors	-	-	-	24,667,520	24,667,520
- Trade and other payables	-	41,539,304	-	-	41,539,304
- Provision for legal claims	-	14,400,000	-	-	14,400,000
		117,479,869	36,428,488	116,218,761	270,127,118

Year ended 31 December 2015 - Group

Interest bearing liabilities:					
- Bank overdraft	17%	50,857,360	-	-	50,857,360
- Bank loan	20.33%	9,722,409	48,681,154	-	58,403,563
Non-interest bearing liabilities:					
- Borrowings from related parties	-	-	-	79,455,411	79,455,411
- Borrowings from directors	-	-	-	12,067,520	12,067,520
- Trade and other payables	-	23,008,049	-	-	23,008,049
- Provision for legal claims	-	14,400,000	-	-	14,400,000
	-	97,987,817	48,681,154	91,522,931	238,191,903

Year ended 31 December 2015 - Company

Interest bearing liabilities:					
- Bank overdraft	17%	50,857,360	-	-	50,857,360
- Bank loan	20.33%	9,722,409	48,681,154	-	58,403,563
Non-interest bearing liabilities:					
- Borrowings from related parties	-	-	-	79,455,411	79,455,411
- Borrowings from directors	-	-	-	12,067,520	12,067,520
- Trade and other payables	-	25,501,932	-	-	25,501,932
- Provision for legal claims	-	14,400,000	-	-	14,400,000
		100,481,700	48,681,154	91,522,931	240,685,786

Notes *Continued*

For the year ended 31 December 2016

26. Capital management

The group's objectives when managing capital are:

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders;
- to maintain a strong asset base to support the development of business; and
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders, bonuses paid to directors or issue new shares. Consistently with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt: capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity.

The gearing ratios at 31 December 2016 and 2015 were as follows:

	Group		Company	
	2016 Shs	2015 Shs	2016 Shs	2015 Shs
Total borrowings (Note 12)	200,967,174	185,450,949	200,967,174	185,450,949
Less cash and cash equivalents (Note 19)	(2,362,398)	(3,837,442)	(2,362,398)	(3,837,442)
Net debt	198,604,776	181,613,507	198,604,776	181,613,507
Total equity	23,180,302	120,119,139	23,356,640	120,164,077
Gearing ratio (%)	856.78	151.19	850.31	151.14

The increase in the gearing ratio is primarily due an increase in net debt during the year and the loss for the year.

27. Contingent liabilities

The company is a defendant in various legal actions. After seeking appropriate legal advice, the directors are of the opinion that the outcomes of such actions are not expected to give rise to any significant losses other than as provided for in the financial statements (Note 21).

The company has an ongoing in-depth examination by the Kenya Revenue Authority. The examination has not been concluded as at the reporting date. As a result, the directors are unable to quantify liabilities (if any) arising from the examination.

	Group and company	
	2016 Shs	2015 Shs
28. Commitments - capital commitments		
Inventories - work-in-progress	1,529,815,614	1,495,659,355

29. Incorporation

Express Kenya Limited is incorporated in Kenya under the Companies Act as a public liability company and is domiciled in Kenya.

30. Presentation currency

The financial statements are presented in Kenya Shillings (Shs).

Company's Top 30 Shareholders

FOR THE YEAR ENDED DECEMBER 31, 2016

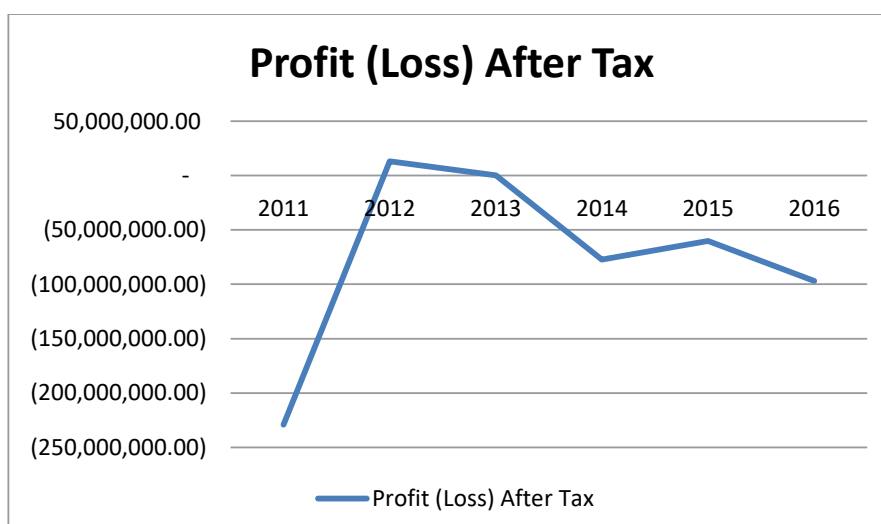
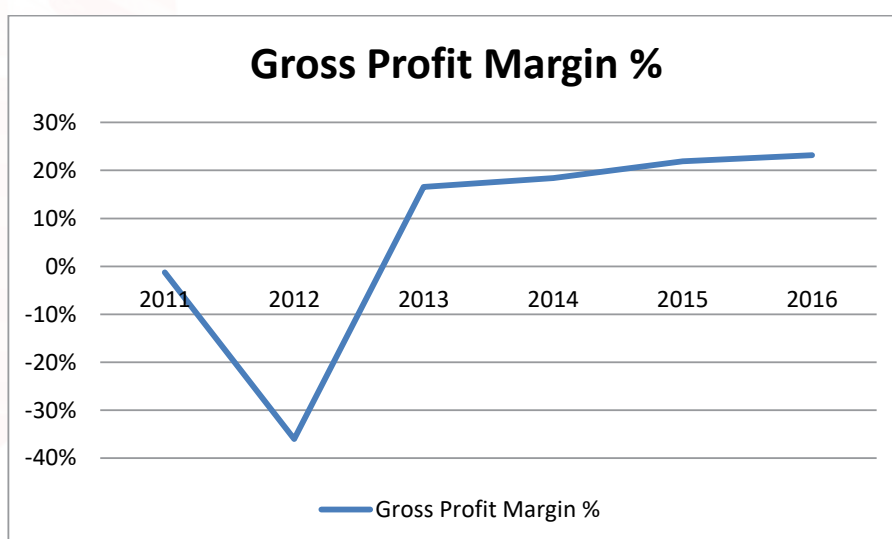
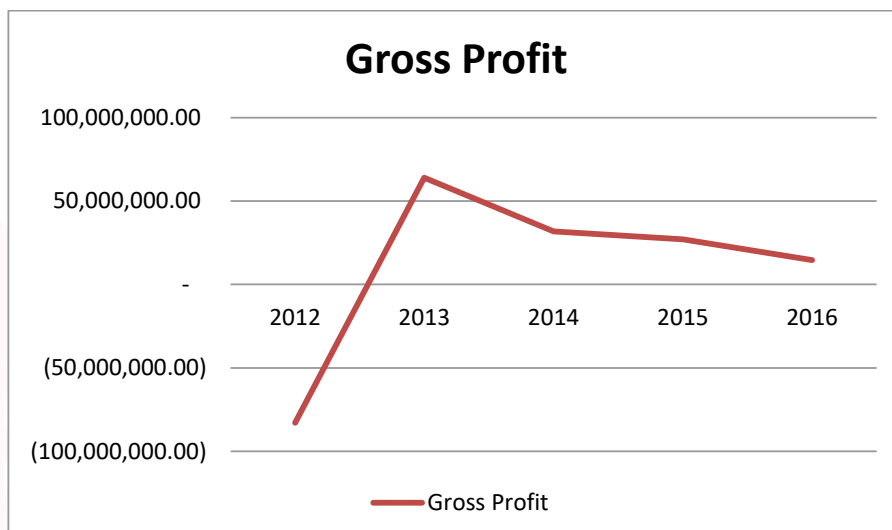
Rank	Name	Domicile	Total Shares	%
1	ETCOVILLE HOLDINGS LIMITED	LC	21,392,898	60.43%
2	PAUL WANDERI NDUNGU	LI	1,912,090	5.40%
3	DANIEL KARANJA NDUNGU	LI	773,656	2.19%
4	STANDARD CHARTERED NOMINEES A/C 9397	LC	457,054	1.29%
5	HECTOR ROBERT DINIZ	LI	428,300	1.21%
6	SARAJ PROPERTIES LIMITED	LC	410,500	1.16%
7	HENRY NZIOKA IVUTI	LI	342,449	0.97%
8	YASIN ESMAIL AHMED	LI	296,700	0.84%
9	VISHAL SUDHIRKUMAR SHAH	FI	206,600	0.58%
10	DAVINDAR SINGH DEVGUN	LI	189,000	0.53%
11	THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	LC	158,600	0.45%
12	PATRICK KARIUKI & AGNES NDUNG'U KARINGE	LI	157,300	0.44%
13	ANDREW MUKITE MUSANGI	LI	153,100	0.43%
14	ELEGANT HOLDINGS LIMITED	LC	150,800	0.43%
15	EKTA BIMAL & KUNAL KAMLESH SHAH	LI	136,700	0.39%
16	KOLLIYOOR BAHULAYAN/DALAVOI RAMAPPA SATHYA GOPAKUMAR/VADANA	LI	126,800	0.36%
17	LAVINGTON SECURITY GUARDS LIMITED	LC	125,400	0.35%
18	MACHARIA MIGWI	LI	110,000	0.31%
19	SUPINDER SINGH SOIN	LI	106,000	0.30%
20	MANSUKHLAL KESHAVJI SHAH & MITAL MANSUKHLAL SHAH & NIRMALABEN MANSUKHLAL SHAH	LI	99,600	0.28%
21	AJAY KISHORCHANDRA KARSANDAS KOTECHA	LI	99,597	0.28%
22	ROBINSON NGIGI GOCO	LI	98,007	0.28%
23	JOSEPHAT KIMATA WA MUKUI	LI	92,331	0.26%
24	CYPRIAN MAMBO WAMBUGU	LI	76,000	0.21%
25	NOMURA NOMINEES LTD A/C RANGECHEM LTD	LC	62,900	0.18%
26	HASMITA AJITKUMAR&AJITKUMAR RATILAL HARIA	LI	62,300	0.18%
27	ALPA NISHIT CHHEDA; NISHIT SURENDRAKUMAR CHHEDA	LI	60,000	0.17%
28	FRANCIS P NGILLAH	LI	55,027	0.16%
29	SAVITABEN VELJI RAICHAND SHAH	LI	53,556	0.15%
30	YASIN ESMAIL AHMED & ESMAIL AHMED	LI	53,500	0.15%

SHARES SELECTED	28,446,765	80.35%
SHARES NOT SELECTED - 4,205 Shareholders	6,957,025	19.65%
SHARES ISSUED	35,403,790	100.00%

TOTAL SHAREHOLDERS	4,235
CDSC IMMOBILISATION:	
NO. OF SHAREHOLDERS AT THE CDSC	3,191
NO. OF SHARES HELD AT CDSC	34,246,916

Financial Highlights

For the year ended 31 December 2016





REGISTRAR FORM

CHANGE OF ADDRESS AND PAYMENT MANDATE FORM FOR EXPRESS KENYA LIMITED

Completed dividend mandate forms should be posted to Custody and Registrars Services Limited, P O Box 8484, 00100 GPO, Nairobi, Kenya or delivered by hand to 6th Floor, Bruce House, Standard Street, Nairobi, Kenya.

Email Address: info@candrgroup.co.ke Telephone: Tel: 2230518, 2230493, 2230488, 0726971599, 0737095124

(For EXPRESS updates only)

I/We, the undersigned, hereby authorise and instruct **EXPRESS KENYA LIMITED** and Custody and Registrars Services Limited to maintain or update our details for payment of all dividends that may hereafter and from time to time, become due and payable to me/us by the Issuer with the payment details below. I/We, the undersigned, note that shareholders with certificated dividend mandates are maintained by the Registrar but that postal and bank mandate details for CDSC accounts can only be done through my/our brokers and not the Registrar

(TICK PREFERRED METHOD OF PAYMENT):

☐ Depositing the same at any branch of the bank mentioned below for the credit of my/our account detailed below

☐ By cheque to the new address stated below

I/We understand and agree that any such deposit shall constitute a full and sufficient discharge of the Issuer's and Custody and Registrars Services Limited's obligations to make such payments to me/us and neither the Issuer nor Custody and Registrars Services Limited shall be responsible in anyway for any loss which I/we may suffer consequent to such deposits being made pursuant to this authority and instruction.

I/We confirm that the details set out below are true and correct. In the event that the details set out below change in any way, I/we agree to cancel this authority and instruction forthwith and notify the Registrar and/or my/our broker as necessary.

SHAREHOLDER'S FULL NAME/(S): _____																	
IDENTIFICATION NO (ID /Passport/ Company registration no _____																	
SHARES OR CDSC A/C No _____																	
CURRENT POSTAL ADDRESS (INCLUDE POSTAL CODE AND POST OFFICE NAME)	Telephone No: (Compulsory)	SIGNATURE**															
	Email Address:																
** For joint account holders, all holders to sign. For Corporate shareholder provide introductory letter of two directors to sign, introduced by the Company Secretary or another director who is not signing.																	
**BANK ACCOUNT NAME: _____																	
**Name of Bank and Branch _____																	
** Bank & Branch Postal Address _____																	
**Verification by the bank official: Name _____ Signature _____ Stamp _____																	
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All normal charges by banks for processing Electronic Funds Transfers are applicable. Please enquire with your bank.																	
Important: For verification please attach																	
1. A certified copy of your identification document/(s) (Kenya ID or Valid passport as per account) (For all individual or joint holders)																	
2. An original CR12 dated and stamped within past 6 months by the Companies Registry (for Corporate shareholders)																	
3. A certified copy of either a dividend notice OR CDSC statement OR shares certificate																	
4. A copy of your bank statement, which must be certified by the bank.																	
All the above copies should be certified by a magistrate, lawyer or at our offices upon presentation of originals. Any copies certified outside of Kenya must be done by a Notary Public. These instructions will supersede any previous instructions.																	



Proxy form

For the year ended 31 December 2016

I/We

of

being a member(s) of the above Company hereby appoint

of

or failing him/her

of

as my/our proxy to attend and on a poll vote for me/us/ on my /our behalf at the 46th Annual General Meeting of the Company to be held at 11.00 a.m. on Thursday, 29 June 2017 at Eka Hotel, along Mombasa Road, Nairobi and at any adjournment thereof.

Signed day of 2017.

Signature

NOTE:

1. A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the Company.
2. In the case a member being a Limited Company, this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
3. This proxy form must be completed and deposited either at the Registered office of the Company, Express House, Road A, off Enterprise Road, P O Box 40433-00100 Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove, P O Box 47323-00100 Nairobi so as to reach not later than 48 hours before the meeting.

This Proxy Form is also available on the company's website: www.expresskenya.com

Fomu ya Uwakilishi

Mimi/Sisi

wa

nikiwa/tukiwa mwanachama/wanachama wa **Express Kenya Limited**, namchagua/tunachagua

wa

au akikosa yeye/wakikosa wao

wa

kupiga kura badala ya mimi/sisi kwa niaba yangu/yetu katika **Mkutano Mkuu wa Mwaka wa 46** wa Kampuni hii utakaofanywa **saa tano asubuhi** tarehe **Alhamisi Juni 29, 2017** katika **Eka Hotel** iliyo Mombasa Road, Nairobi, na katika mkutano wowote utakaoahirishwa.

Imetiwa sahihi leo siku ya 2017

Sahihi

TAZAMA:

1. Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano huu ana haki ya kumchagua mwakilishi au waakilishi ambaye/ambao si lazima kuwa Mshiriki au Washiriki wa Kampuni.
2. Fomu hii ya uwakilishi lazima kufikishwa katika Ofisi ya Kampuni Iliyosajiliwa, **Express House, Road A, off Enterprise Road, Sanduku la Posta 40433 - 00100, Nairobi** **AU** kwa Katibu wa Kampuni, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove, P O Box 47323-00100, Nairobi katika muda usiopungua masaa 48 kabla ya mkutano kufanyika.



STAMP

The Company Secretary
EXPRESS KENYA LIMITED
P O Box 40433 - 00100 GP O
Nairobi, Kenya

Notes

[illegible]

Notes



Diniz Holdings Limited